IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, CHENNAI

CP/220/CAA/2018
In
CA No/38/CAA/2018

Under sections 230, 231 r/w section 66 of the Companies Act, 2013

In the matter of Scheme of Arrangement
Between
M/s. TVS MOTOR SERVICES LIMITED
(CIN: U50404TN2009PLC071075)
---PetitionerCompany-1
With
M/s. TVS CREDIT SERVICE LIMITED
(CIN: U65920TN2008PLC069758)
---Petitioner Company-2
And
Their Respective Shareholders and Creditors

Order delivered on: 09.04.2019

Coram:
B. S.V. PRAKASH KUMAR, MEMBER (JUDICIAL)
S. VIJAYARAGHAVAN, MEMBER (TECHNICAL)

For the Petitioners: *Shri. Sathish Parasaran, Sr. Advocate*
Shri. M D Srinivasan, Advocate

ORDER

Per: S. VIJAYARAGHAVAN, MEMBER (TECHNICAL)

Order pronounced on: 09.04.2019

Under consideration is a Joint Company Petition No.220/CAA/2018 filed by the above mentioned Petitioner

Companies under section 230 and 231 r/w section 66 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules 2016. The instant Company Petition in the matter of the Scheme of Arrangement by virtue of which of *"making investments* of *M/s. TVS Motor Services Limited* (hereafter refereed as **"Petitioner Company-1"**) and *M/s. TVS Credit Service Limited* (hereafter referred as **"Petitioner Company-2"**).

2. The Authorised and issued, subscribed & paid up share capital of the Demerged Company and the Resulting Company and secured/ unsecured creditors as on 22.06.2018 are as under:

Particulars	**Authorized Capital**	**Issued & paid-up Capital**	**Equity Share-holders**	**Secured Creditors**	**Unsecured Creditors**
Petitioner Company-1	Rs. 625,00,00,000	Rs. 618,01,00,000	8	1	1
Petitioner Company-2	Rs. 200,00,00,000	Rs. 166,88,57,000	13	Nil	Nil

3. The Petitioner Company-1 viz., M/s. TVS Motor Services Limited, is an Unlisted Public Limited Company, it was incorporated on 23.09.2009, under the Companies Act, 1956,

having its registered office at "Jayalakshmi Estates" No. 29, Haddows Road, Chennai-600006. The Petitioner Company-1 is engaged *inter-alia* in the business of making investments in TVS Credit Services Limited and the main objects of the Petitioner Company is to buy, sell, deal in, take and let on hire, store, repair, maintain and service all kinds of automotive, automobiles etc.

4. The Petitioner Company-2 viz., M/s. TVS Credit Service Limited is an unlisted Public Limited Company; it was incorporated on 05.11.2008, under the Companies Act, 1956. The Petitioner Company-2 is engaged *inter-alia* to carry on all the activities of a non-baking finance Company, either singly or jointly or a syndicate/consortium/ participative/ lead basis but not limited to providing all kinds of fund based and non-fund based facilities and services etc. The Board of Directors of the Petitioner Company-1 and Petitioner Company-2 vide their resolutions dated 19.12.2017 and 22.12.2017 respectively approved the said scheme of Arrangement.

5. This Bench vide its order dated 25.04.2018 passed in CA/38/CAA/2018 for the convening and holding of the meeting of the Equity shareholders and creditors of the Petitioner Company-1&2 was dispensed with. The Petitioner Company-1 has finished the consent affidavit of the Non-Cumulative Redeemable Preference shareholders also which has been taken on record. The Petitioner Company has one secured creditor and furnished and furnished a certificate from a Chartered Accountant to this effect along with the consent by way of an affidavit of the said creditor. In relation to the Petitioner Company-2 there is a change in the shareholding pattern and no arrangements is envisaged with the creditors hence it has not made any prayer for dispensing with the meeting of any class of creditors. The Petitioner Companies have complied with all the orders passed by the Bench.

6. On perusal of the rationale of the scheme of Arrangement, the Board of Directors of the Petitioner Company-1 and Petitioner Company-2 are of the view the scheme of Arrangement will enable both the Petitioner Companies to achieve and fulfil their

objectives more efficiently, permitting grater management focus on the respective businesses ensuring economic operations and the same is also in the interest of all the stakeholders; in light of insufficient profits of TVS Motor Services Limited for reduction of Non Cumulative Redemption Preference shareholders (in short NCRPS) and purposes of honouring TVS Motors Services limited obligations towards the Non Cumulative Redemption Preference shareholders (in short NCRPS), TVS Motors Services Limited intends to transfer TVS Credit Services Limited shares to the Non Cumulative Redemption Preference shareholders (in short NCRPS) against cancellation and extinguishment of NCRPS and the attached liability of TVS Motors Services Limited hereunder.

7. There are no investigation proceedings pending against the companies under the provisions of the Companies Act, 1956 and or the Companies Act, 2013 or by the Registrar of the Companies, Tami Nadu.

8. The Regional Director, Southern Region (In short, '**RD**') in its Report Affidavit (for brevity, '**Report**') dated 26.10.2018

submitted that as per records of ROC, Chennai, the Petitioner Company-1 and Petitioner Company-2 are regular in filing their statutory returns and no investigation is pending against the companies. It is further submitted that the petitioner companies affecting only the shareholding pattern of the Petitioner Company-2 and the interest of the workman/ employees is not affected. The RD has decided not to make any objection to the Scheme and submitted that the petition may be disposed of on merits.

9. As per the Tribunal's order dated 25.02.2019, the Official Liquidator filed a report on 12.03.2019 stating that it is a Scheme of arrangement between the Petitioner Companies and their shareholders. Since, it is only a Scheme of Arrangement; there is no role for the Official Liquidator as the petition does not involve any merger of the companies or dissolution of the companies without winding up.

10. Further perusal of the scheme shows that the accounting treatment is in conformity with the established accounting standards. In short, there is no apprehension that any of the

creditors would lose or be prejudiced if the proposed scheme is sanctioned. The said Scheme of Arrangement will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditors in any manner. **The Appointed date of the said Scheme is 01st January, 2018.**

11. The Petitioner Companies has filed Affidavit, stating that the scheme Proposed does not fall within the ambit of sections 4 and 5 of the Competition Act, 2002.

12. As per direction of the this Bench, the Petitioner Companies has filed an affidavit stating that the Reserve Bank of India vide its letter **DNBS (Che) No: 1580/13.27.069/2017-18 dated 10.04.2018** has given ***"No-Objection"*** to change in shareholding of the Petitioner Company-2 pursuant to this Arrangement

13. The scheme does not require any modification as it appears to be fair and reasonable, not contrary to public policy and also not violative of any provisions of law. All the statutory compliances have been made under section 230 and 231 r/w section 66 of the Companies Act, 2013 r/w the Companies (Compromises,

Arrangements and Amalgamations) Rules, 2016. The Scheme of Arrangement between the Petitioner Company-1 and the Petitioner Company-2 was duly approved by the shareholders of respective companies. Taking into consideration all the above, the Company Petitions are allowed and the scheme of Arrangement annexed with the petition is hereby sanctioned which shall be binding on all the members, creditors and shareholders.

14. While approving the scheme as above, we further clarify that this order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

15. The Company to the said Scheme or other person interested, shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme. The Petitioner Company to file with the Registrar of Companies

the certified copy of this Order within 30 days of the receipt of the order.

16. The Order of sanction to this Scheme shall be prepared by the Registry as per the format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 as has been notified on 14th December, 2016.

17. Accordingly, the Scheme annexed with the petitions stands sanctioned and CP/220/CAA/2018 stands disposed of.

-SD-
S. VIJAYARAGHAVAN
MEMBER (Technical)

-SD-
B. S. V. PRAKASH KUMAR
MEMBER (Judicial)

TJS